

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Google's revenue growth** slowed in its most recent quarter as the company's cloud-computing division underperformed Wall Street analysts' expectations. **A1**
- ◆ **Major U.S. stock indexes** advanced, with the S&P 500, Nasdaq and Dow industrials gaining 0.7%, 1.4% and 0.3%, respectively. **B11**
- ◆ **Shares of Estée Lauder** plunged 16% after the cosmetics company said it would cut as many as 7,000 jobs and warned of a steep sales drop to start the new year. **B1**
- ◆ **Nissan's board** is planning to reject Honda's terms for a combination of the two automakers, putting in danger a merger plan, people familiar with the matter said. **B1**
- ◆ **Robinhood said it** withdrew its plans to offer betting contracts on the Super Bowl following pushback from the CFTC. **B1**
- ◆ **Audiostreaming service** Spotify reported its first full year of profitability, fueled by record user growth and austerity measures. **B1**
- ◆ **Fox Corp. said it** plans by the end of 2025 to launch a direct-to-consumer streaming service that will include content from Fox News and Fox Sports. **B1**
- ◆ **Shares of Merck fell** more than 9% after the drugmaker's 2025 revenue guidance fell short of analyst expectations and the company said it was pausing shipments of its Gardasil vaccine to China. **B2**
- ◆ **Spirits maker Diageo** scrapped its midterm outlook due to uncertainty in key markets and warned U.S. tariffs could derail its recovery. **B3**

World-Wide

- ◆ **Trump called for** nearly two million Palestinians to permanently leave Gaza for neighboring countries and for the U.S. to take long-term control of the territory, a sweeping break with decades of U.S. policy that left the idea of a Palestinian state in tatters. **A1**
- ◆ **China undertook** retaliatory measures in response to Trump's tariff increase, resuming a long-simmering trade war between the world's two largest economies. **A1**
- ◆ **Intense last-minute** lobbying by the White House helped Robert F. Kennedy Jr. and Tulsi Gabbard get the committee votes needed to put them on track for confirmation next week to lead HHS and national intelligence, respectively. **A4**
- ◆ **The CIA offered** buyouts to its entire workforce, in what officials said is a bid to bring the agency in line with Trump's priorities, including targeting drug cartels. **A5**
- ◆ **FBI agents sued** the Justice Department to stop it from releasing a list of employees who participated in investigations of Trump and the attack on the U.S. Capitol, saying they feared retribution if their identities become public. **A5**
- ◆ **Secretary of State Marco Rubio** said that El Salvador offered to accept deportees of any nationality from the U.S., including incarcerated American citizens. **A5**
- ◆ **About 10 people**, including the gunman, were killed in a mass shooting at an adult-education center in Sweden. **A6**
- ◆ **Died: The Aga Khan IV**, 88, leader of Ismaili Muslims. **A6**

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Trump Urges U.S. Takeover of Gaza



President Trump made his proposal about Gaza as he hosted Israeli leader Benjamin Netanyahu at the White House on Tuesday.

President calls for Palestinians to be removed in major break from policy

WASHINGTON—President Trump called for the U.S. to take long-term control of the Gaza Strip and for the nearly two million Palestinians living there to leave for neighboring countries, a break with decades of U.S. policy that left the idea of a Palestinian state in tatters.

By Alexander Ward, Dov Lieber and Michael R. Gordon

“The U.S. will take over the Gaza Strip,” Trump said during a press conference Tuesday alongside Israeli Prime Minister Benjamin Netanyahu at the White House. “I do see a long-term ownership position, and I see it bringing great stability to that part of the Middle East, and maybe the entire Middle East.”

The proposal, if implemented, would involve the U.S. deeply in a massive development project that Trump officials said earlier in the day could take 10 to 15 years. He left unaddressed how the U.S. would persuade Palestin-

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Beijing Retaliates With Tariffs of Its Own

By Liza Lin and Raffaele Huang

SINGAPORE—China unleashed a burst of retaliatory measures on Tuesday in response to President Trump's tariff increase, resuming a long-simmering trade war between the world's two largest economies and sparking fears of a wider conflagration.

In a coordinated action, several Chinese government bodies announced actions targeting U.S. goods and companies—at 1:02 p.m. local time, one minute after the U.S. formally increased tariffs on imports of all Chinese-made

goods by an additional 10%. China's measures are set to take effect on Feb. 10.

The Customs Tariff Commission of China's cabinet, the State Council, imposed 15% tariffs on U.S. coal and liquefied natural gas imports, while raising levies on crude oil, agricultural machinery and certain vehicles.

China's Commerce Ministry added several metals to an export control list, effectively restricting U.S. access to key minerals used to make semiconductors, missile systems and solar cells.

And China's antitrust regulator opened a probe into

World Reaction

- ◆ **'China shock' upended U.S. workers**..... **A2**
- ◆ **Postal service halts parcels from China**..... **A2**
- ◆ **Heard on Street: Markets complacent?**..... **B13**

Google, a high-profile symbol of U.S. technological dominance, for possible antitrust violations, while adding PVH, the parent company of Tommy Hilfiger and Calvin Klein, to a list of “unreliable entities,” which could be used to restrict or ban firms from trading with or investing in China.

The grab bag of moves came days after China pledged to respond to Trump's additional levy on Chinese goods entering the U.S. While Trump had threatened tariffs on three countries—Canada, Mexico and China—citing what he called their failure to prevent illegal fentanyl from entering the U.S., he postponed the tariffs on Canada and Mexico at the 11th hour, while proceeding with the tariffs on Chinese goods.

With China's economy in arguably its weakest state in decades and far more reliant than the U.S. on trade, the measures from Beijing were

largely symbolic, apparently designed to send a dual message to the new administration in Washington: Beijing is willing to risk a wider trade fight with the U.S., but is also positioning itself for talks to calm tensions.

“China has the capacity to retaliate hard and fast, but seems intent to demonstrate strength while avoiding unnecessary escalation to keep its options open,” said Han Shen Lin, China director at the Asia Group, a business consulting firm.

On Monday, Trump, a Republican, described the China

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Google Revenue Growth Slows in Cloud Unit

By Miles Kruppa

A slowdown in cloud-computing sales dragged down Google's revenue growth in its most recent quarter, sending its shares tumbling in after-hours trading.

Parent company Alphabet reported \$96.5 billion of revenue for the three months ending December, an increase of 12% from the same period a year earlier. Alphabet hasn't reported a growth rate that low since 2023.

Shares in Alphabet were down 8% in after-hours trading following the earnings report, paring much of this year's gains of about 8%.

Microsoft shares also dropped last week after investors were similarly disappointed in the growth rate of its cloud business.

Google's cloud-computing division reported \$12 billion in fourth-quarter sales, up 30% from the same period a year earlier. In the third quarter, cloud sales grew by 35%.

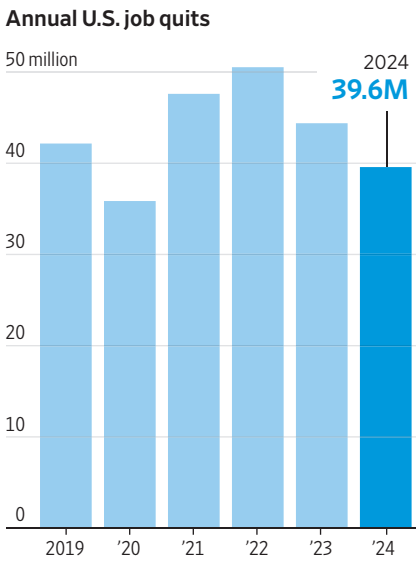
Google Chief Executive Sundar Pichai said Google was accelerating its investments in the data centers that power AI, both for his company and clients of its cloud-computing business. Pichai said Google would spend about \$75 billion on capital expenditures this year, compared with \$52.5 billion in 2024.

Large tech companies have been facing questions about

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Job Hopping Eases

The U.S. job market remains solid, but more workers are staying put as it's become harder to trade up to a better position. Americans quit 39.6 million jobs in 2024, down 11% from the year before and down 22% from a recent peak in 2022, the Labor Department said Tuesday. **A5**



A Country's Key to Marital Bliss: Lots of Shows About Divorce

* * *
South Koreans can't stop watching people break up; 'I don't have it that bad'

By Soobin Kim and Timothy W. Martin

SEOUL—After more than three decades of marriage, Kim Younok thinks it's natural to ponder divorce, owing to divergent lifestyles with her husband and their differing personal tastes.

But she calms down after watching a popular South Korean TV show called “Marriage Hell,” where a celebrity psychiatrist reviews rocky real-life relationships. Some couples bicker about ordering takeout versus cooking at home. Others erupt over excessive spending for things like cellulite-removal surgery.

“I don't have it that bad,” says the 60-year-old Kim.

“Watching the program, I consider myself lucky.”

South Koreans can't seem to break up with a new wave of divorce content—even as fewer marriages are actually ending.

Fans of the shows say they enjoy the voyeuristic aspects, practical tips to avoid marriage woes and even better bonding with mom. South Korea, which is socially conservative, has the wealthy world's lowest birthrate, a reflection of how few young people get married. Those who do tend to stay that way.

While not wholly taboo, divorce hasn't been normalized either. That's left a curiosity void to fill for TV shows, on-

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Musk Moves Leave Agencies in Chaos

WASHINGTON—President Trump said this week there were curbs in place to prevent Elon Musk from doing anything in the government with-

By Annie Linskey, Brian Schwartz and Rebecca Ballhaus

out the White House's blessing, as confusion grew about who was overseeing the presidential adviser's push to dismantle multiple agencies.

“Elon can't do—and won't

do—anything without our approval and we'll give him the approval where appropriate. Where not appropriate, we won't,” Trump said on Monday.

Trump's comments, made to reporters in the Oval Office, came just hours after a Musk-led team effectively shut down the U.S. Agency for International Development. Musk, over the weekend, called

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◆ **\$40 billion aid agency gutted in two weeks**..... **A4**

Blitz Flipped Hegseth Vote

Pressure campaign on Tillis kicked in after he declared himself a 'no'

WASHINGTON—The night before Sen. Thom Tillis (R., N.C.) cast the fateful 50th “yes” vote to confirm Pete Hegseth as defense secretary,

By Lindsay Wise, Jack Gillum and Meredith McGraw

he approached the Senate's new Republican leader and told him he was a “no.” That Thursday night, Tillis told Senate Majority Leader John Thune (R., S.D.), who was less than a month into his new role, that there were enough votes to defeat Hegseth.

But Thune said that was Tillis's problem—not his

problem—and that Tillis could go to the White House and tell President Trump himself.

Over the next 24 hours, Tillis would go from no to the decisive yes vote for Trump's controversial pick. This story of how he flipped—a last-minute blitz by the president, vice president, the Republican whip team and Hegseth—shows how political and party pressure came to bear on a

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Path Clears For Nominees

◆ **Vance helps RFK Jr., Gabbard advance**..... **A4**